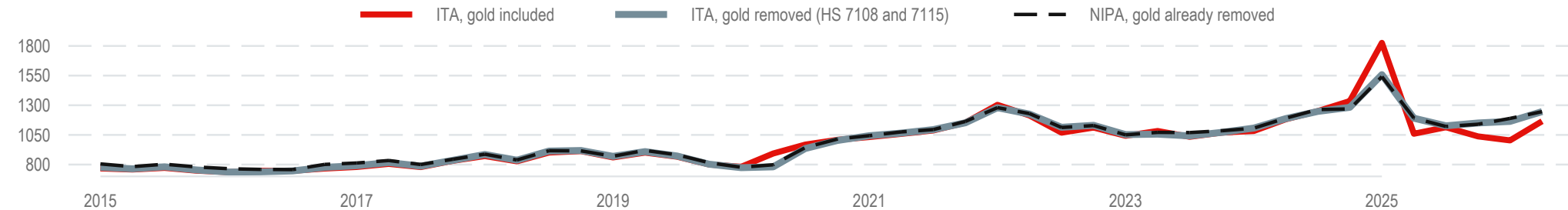




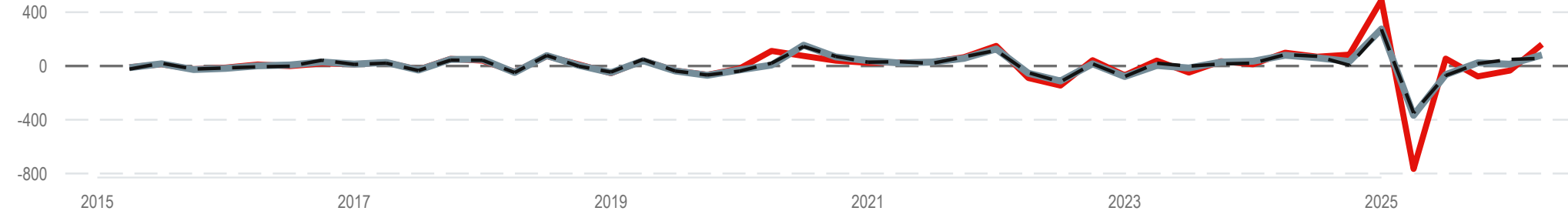
For three quarters running, two official measures of the US goods balance pointed in opposite directions

Same agency, same transactions. The only difference is whether bullion counts as trade

a. The same quarter's trade, measured twice - and reconciled
US goods deficit, \$bn at an annual rate. In 2025Q1 the two official measures were \$285bn apart; adjusted, \$17bn



b. The disagreements about direction go with it
Change in the goods deficit, \$bn. Correlation with NIPA rises from 0.91 to 0.99 once gold is out



BEA publishes the US goods balance twice. The International Transactions Accounts carry nonmonetary gold; the national accounts remove it and replace it with domestic production less industrial use. In normal times the two barely differ and nobody needs to know which they are reading.

THE LEVEL BREAK. In 2025Q1 the ITA goods deficit was \$1,826bn at an annual rate against NIPA's \$1,541bn - the same quarter's trade, \$285bn apart. Four quarters later the gap had swung from +18.5% of the NIPA figure to -15.6%. It correlates 0.98 with net gold trade.

THE DIRECTIONAL BREAK IS THE SERIOUS ONE, because a level gap can be netted out by anyone who knows it is there and a sign disagreement cannot. Five quarters since 2015 disagree about whether the deficit widened or narrowed. The two before 2025 are rounding, \$17bn and \$14bn. The three since are six to nine times larger and consecutive: in 2025Q3 the ITA showed the deficit widening \$55bn while NIPA showed it narrowing \$71bn, and the next two quarters reversed that.

AND THE ADJUSTMENT CLOSSES IT. The grey line removes nonmonetary gold from both sides of the ITA balance - HS 7108 and 7115, which since the balance is imports minus exports is simply the deficit less net gold. The mean absolute gap to NIPA falls from \$36bn to \$11bn, 2025Q1 from \$285bn to \$17bn, and the correlation of quarterly changes from 0.908 to 0.991. Every large directional disagreement disappears. Neither series is wrong - each is correct for its own purpose - but the adjustment is arithmetic on a series Census already publishes, and publishing the balance on both bases would cost nothing.
Source: Bureau of Economic Analysis, International Transactions Accounts and NIPA tables 1.1.5; US Census Bureau.